# MACRO ECONOMIC WEEKLY NEWSLETTER

## Week of June 27, 2026

Market Intelligence · Economic Analysis · Investment Signals

| Asset | Last Price | 1-Week | 1-Month | YTD |
|---|---|---|---|---|
| S&P 500 | 7,354.02 | -1.59% | -2.77% | +19.13% |
| NASDAQ | 25,297.62 | -3.32% | -6.02% | +24.78% |
| Dow Jones | 51,876.11 | +0.32% | +2.38% | +18.39% |
| VIX | 18.41 | +6.54% | +16.96% | +10.97% |
| 10-Yr Yield (%) | 4.45 | -0.80% | -2.65% | +4.66% |
| Gold | 4,078.70 | -2.47% | -9.35% | +24.59% |
| WTI Oil | 69.23 | -7.47% | -22.13% | +5.66% |
| USD Index | 101.36 | +0.34% | +2.36% | +4.07% |
| Bitcoin | 60,220.46 | -3.91% | -4.77% | -43.77% |

## 1. Major Market Events — Past 8 Days

Only events that have materially moved markets or shifted the macro narrative in the past 8 calendar days. Tickers listed are the most directly affected.

| June 20, 2026 | ▼ **Michigan Sentiment Final: 65.2 — Consumer Confidence Near 2-Year Low** |
|---|---|
| The University of Michigan Consumer Sentiment final reading for June came in at 65.2, below the 67.5 preliminary estimate and near the lowest level since August 2024. Long-run inflation expectations ticked up to 3.4%. Consumers cited high gasoline prices, rising borrowing costs, and job security concerns as key drags. The reading adds to a growing body of evidence that the higher-for-longer rate environment is beginning to erode household confidence. | **Market Impact (BEARISH):** Weak consumer confidence leads spending by 2-3 months. Bearish consumer discretionary (XLY, AMZN, TGT). Defensive names (WMT, staples, utilities) may outperform…<br>**Watch: [XLY] [AMZN] [TGT] [WMT] [HD]** |

| June 23, 2026 | ▼ **AI/Tech Selloff — Nasdaq -2.2%, Nvidia -4.2%, AMD -6.2%, Micron -8.5%** |
|---|---|
| A broad AI and semiconductor selloff stretched across two days (June 23-24) as investors questioned whether artificial intelligence will generate profits that justify lofty valuations. Nvidia fell 4.2%, Broadcom -3.1%, AMD -6.2%, and Micron shed 8.5%. The Nasdaq dropped 2.21% and the S&P; 500 fell 1.44% on June 23 alone. Bank of America and Deutsche Bank now forecast three Fed rate hikes by year-end, making high growth multiples increasingly hard to defend. Asian chip stocks (SK Hynix, Samsung) fell over 12% on spillover. | **Market Impact (BEARISH):** Rising rate expectations pressure high-multiple tech. Correction in semiconductors after AI-driven 2025-2026 rally. The Nasdaq remains up ~10% YTD, so this look…<br>**Watch: [NVDA] [AMD] [MU] [AVGO] [AAPL] [GOOGL] [^IXIC]** |

| June 25, 2026 | ◆ **GDP Q1 2026 Final = +2.1% — Revised Up from 1.6% Second Estimate** |
|---|---|
| The Bureau of Economic Analysis released the final (third) estimate for Q1 2026 GDP at an annualized rate of +2.1%, revised up from the second estimate of +1.6% and above the consensus forecast of +1.7%. The upward revision was largely driven by a downward revision to imports (which subtract from GDP) and stronger consumer spending. The reading shows the economy grew faster than feared, though the combination of 2% GDP growth alongside 4.2% CPI stokes stagflation concerns. | **Market Impact (NEUTRAL):** Better-than-feared growth removes imminent recession risk but keeps the Fed on a hawkish path. The growth-inflation combo (2% GDP, 4%+ CPI) is the classic stagf…<br>**Watch: [^GSPC] [^DJI] [XLI] [XLC] [SPY]** |

| June 26, 2026 | ▼ **PCE May 2026: Headline 4.1%, Core 3.4% — Both Hit Multi-Year Highs** |
|---|---|

| | |
|---|---|
| The BEA released the May 2026 Personal Consumption Expenditures (PCE) price index — the Fed's preferred inflation gauge — showing headline PCE at 4.1% YoY (highest since April 2023) and core PCE at 3.4% YoY (highest since October 2023). Monthly core PCE rose 0.3%, matching April. Personal spending surged 0.7% MoM (above the 0.6% estimate) and personal income rose 0.7%, well above the 0.4% forecast. Strong income and spending alongside persistent inflation strengthens the case for a September rate hike. | **Market Impact (BEARISH):** Hot PCE (above Fed's 2% target by a wide margin) virtually eliminates any chance of rate cuts in 2026 and bolsters the hike case. Bearish bonds (TLT, IEF). Bull… **Watch: [TLT] [IEF] [SPY] [XLF] [GLD]** |

| | |
|---|---|
| June 26, 2026 | **▼ Jobless Claims Fall to 215K — Labor Market Resilience Surprises** |
| Initial jobless claims for the week ending June 20 fell to 215,000 — down 12,000 from the prior week's 248,000 spike (the highest since Jan 2025) and well below the 223,000 consensus estimate. The sharp reversal suggests the prior week's jump was seasonal noise rather than a structural labor market deterioration. Continuing claims also declined modestly to 1.84M. A resilient labor market removes the Fed's rationale for pausing — hot jobs + hot PCE = September hike on the table. | **Market Impact (BEARISH):** Strong labor market removes the Fed's safety valve for pausing hikes. BofA and Deutsche Bank now forecast three hikes by year-end. Bullish banks (JPM, BAC — NIM… **Watch: [^GSPC] [XLF] [JPM] [BAC] [XLI]** |

## 2. International Markets & Global Events

Major cross-border developments affecting global equity, currency, and commodity markets. Central bank divergence from the Fed and EM currency dynamics are key themes to monitor.

| | |
|---|---|
| UK \| June 19, 2026 | **◆ BOE Holds at 3.75% (7-2 Vote) — Rate Cuts Now Pushed to 2027** |
| The Bank of England's MPC voted 7-2 to hold Bank Rate at 3.75% at its June meeting, with two hawkish dissenters pushing for a 25bp hike to 4.00%. UK CPI held steady at 2.8% in May — its lowest since March 2025 — but the MPC flagged that energy pass-through effects could push infl… | **Market Impact (NEUTRAL):** Hawkish hold with dissent suggests next move could be a hike, not a cut — a dramatic shift from earlier in 2026. Bearish UK gilts and rate-sensitive sectors. GB… **Watch: [EWU] [FXB] [HSBC] [BARC] [BP]** |
| EUROPE \| June 20, 2026 | **▲ ZEW Sentiment Turns Positive — First Reading Since Middle East War Began** |
| The ZEW Indicator of Economic Sentiment for the Eurozone rose sharply in June 2026 to its first positive reading since the start of the conflict in the Middle East. Analysts cited lower energy price volatility following the U.S.-Iran peace deal and firmer export demand from Asia … | **Market Impact (BULLISH):** Return of economic optimism in Europe signals potential growth recovery. Bullish European equities (EZU, EWG, DAX). EUR/USD supported by divergent growth outloo… **Watch: [EWG] [EWQ] [EZU] [DAX] [FXE]** |
| CHINA \| June 23, 2026 | **◆ China Property Sector Weakens Further — First-Tier Cities Show Green Shoots** |
| Data for the first five months of 2026 showed China's fixed-asset investment fell 4.1% YoY — the steepest decline since May 2020 — driven by a 16.2% plunge in property investment. However, new-home prices in first-tier cities (Beijing, Shanghai, Shenzhen, Guangzhou) rose for the … | **Market Impact (NEUTRAL):** Two-speed China: export sector thriving while property languishes. Mixed for Chinese equities (FXI, KWEB). Bullish copper and commodities on infrastructure spen… **Watch: [FXI] [KWEB] [BABA] [EEM] [HG=F]** |
| JAPAN \| June 24, 2026 | **◆ BOJ Signals Further Tightening — Yen Carry Unwind Risk Elevated** |

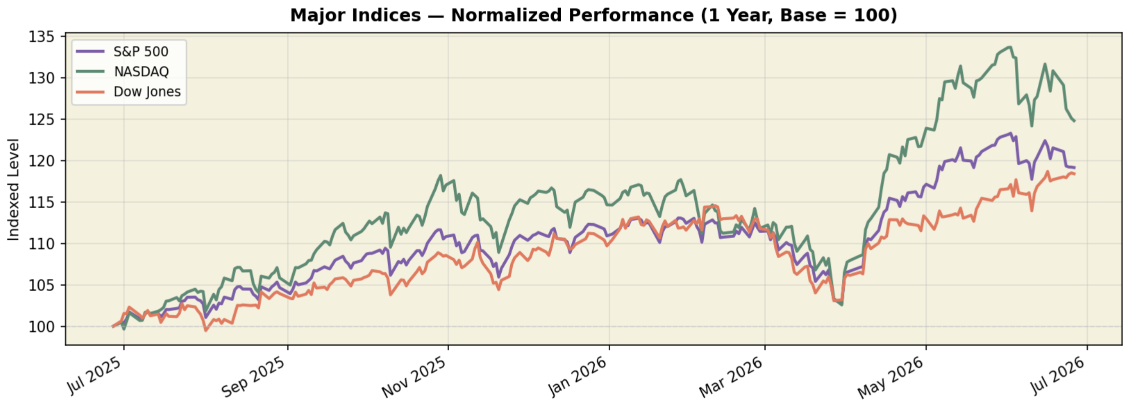
| | |
|---|---|
| BOJ Governor Ueda reiterated in a speech that the central bank remains on a gradual tightening path following the June 16 hike to 1.25% (the highest since 2008). He cited wage growth above 3%, durable domestic demand, and still-elevated import inflation as justifications. USD/JPY… | **Market Impact (NEUTRAL):** BOJ tightening cycle is the biggest tail risk in global markets — yen carry unwind was the catalyst for the August 2024 volatility spike. Bullish FXY, bearish T… **Watch: [EWJ] [FXY] [DXY] [TM] [SONY] [^VIX]** |

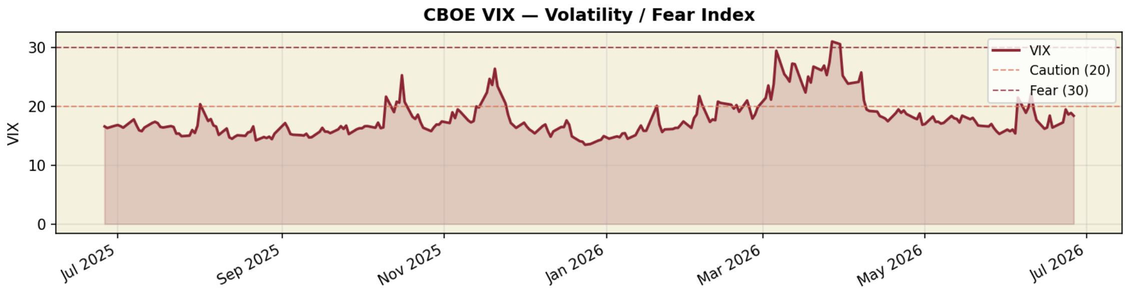
EM | June 25, 2026 ◆ **Brazil Cuts Selic to 14.25% — Third Straight Cut But Cautious Tone**

| | |
|---|---|
| Brazil's central bank (BCB) cut its benchmark Selic rate by 25bps to 14.25% in its third consecutive reduction, but the accompanying statement struck a notably cautious tone — saying the cut was 'appropriate at this moment' while leaving the total easing cycle size data-dependent… | **Market Impact (NEUTRAL):** Brazil's cautious easing cycle signals BCB is not willing to front-load cuts given currency and inflation risks. BRL weakness persists while the Fed stays hawki… **Watch: [EWZ] [EEM] [VWO] [ITUB] [PBR]** |

## 3. Market Overview

Major indices are normalized to 100 at the start of the year to compare relative strength. The VIX measures implied volatility — readings below 15 indicate complacency, 20–30 signals concern, and above 30 marks fear or panic.



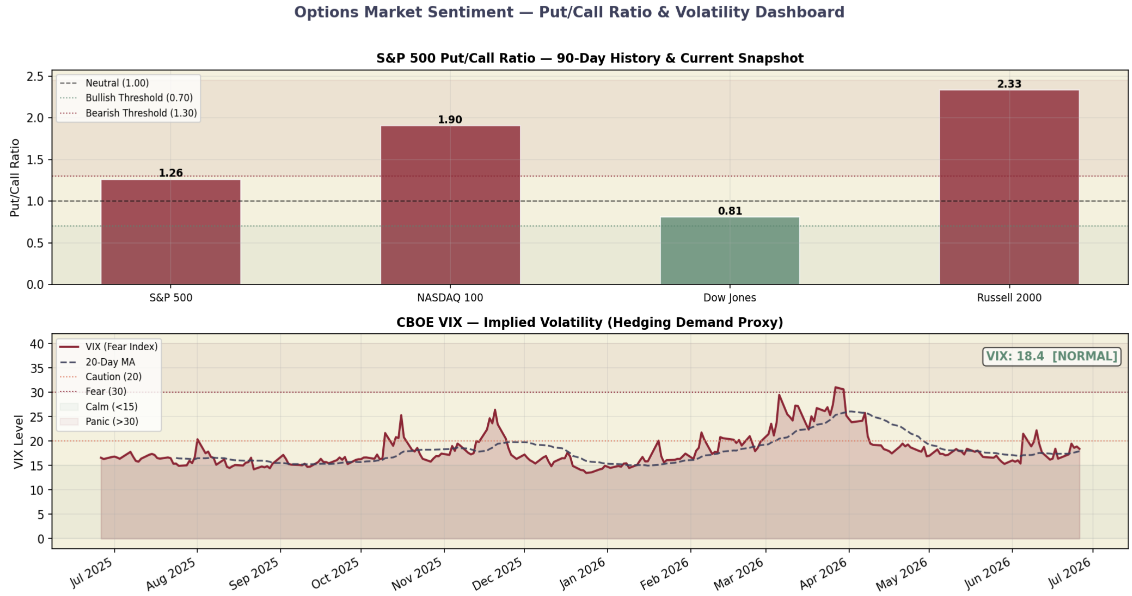




**VIX Signal:** VIX at **18.4** — **Calm markets**. Healthy risk appetite.

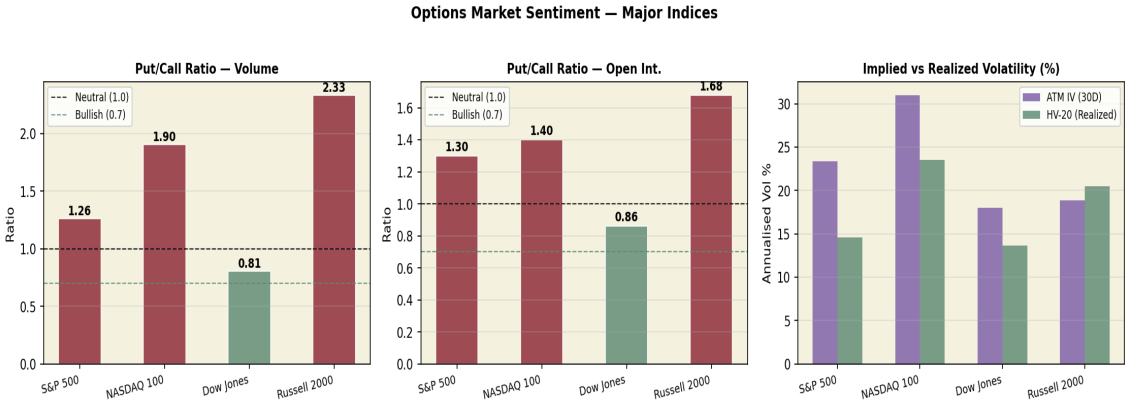
## 4. Options Sentiment — Put/Call Ratios, Time Series & Greeks

The put/call ratio measures market sentiment: a ratio above 1.0 means more puts than calls are trading (bearish hedging activity), while below 0.7 signals bullish complacency (historically a contrarian warning). The 90-day time series tracks how sentiment has evolved — rising PCR trends often precede market bottoms; falling PCR trends can precede corrections. Implied Volatility (IV) vs Historical Volatility (HV-20) shows whether options are expensive or cheap relative to recent realized moves — a key input for options strategy selection. Greeks are computed via Black-Scholes for the nearest at-the-money (ATM) strike on front-month expiry.

## S&P; 500 Put/Call Ratio — 90-Day History & VIX Context




## Today's Snapshot — All Major Indices

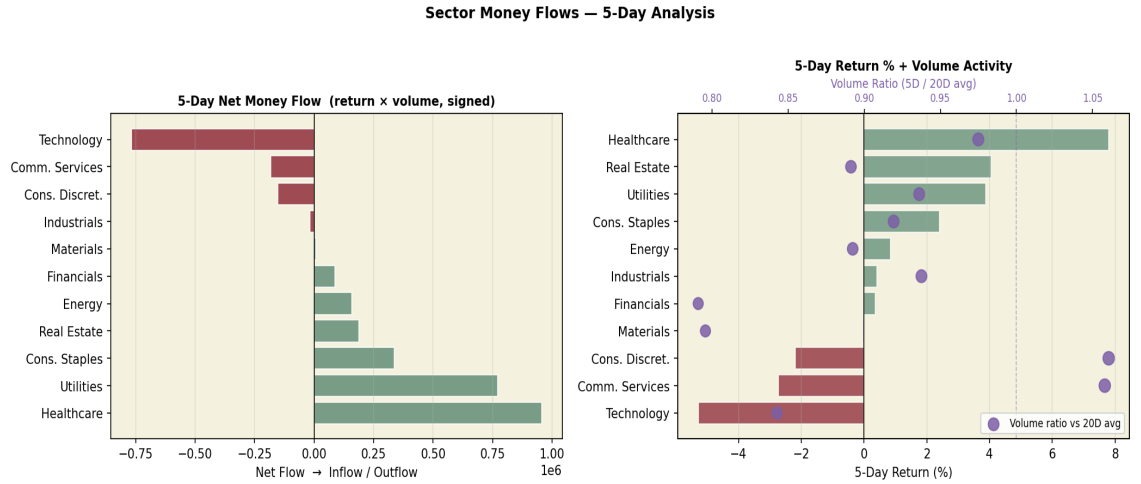



| Index | Price | Expiry | ATM Strike | Call Δ | Call Γ | Call Θ/day | Call Vega | Put Δ | P/C Vol | IV Skew |
|---|---|---|---|---|---|---|---|---|---|---|
| S&P 500 | $728.99 | 2026-07-02 | $729.0 (4d) | 0.511 | 0.0223 | $-0.925 | $0.304 | -0.489 | 1.26 | 0.199 |
| NASDAQ 100 | $706.52 | 2026-07-02 | $707.0 (4d) | 0.503 | 0.0174 | $-1.177 | $0.295 | -0.497 | 1.90 | 0.346 |
| Dow Jones | $517.75 | 2026-07-02 | $518.0 (4d) | 0.502 | 0.0408 | $-0.512 | $0.216 | -0.498 | 0.81 | 0.171 |
| Russell 2000 | $299.83 | 2026-07-02 | $300.0 (4d) | 0.500 | 0.0674 | $-0.309 | $0.125 | -0.500 | 2.33 | 0.420 |

**Greeks Glossary:** Delta (Δ) = option price change per $1 move in underlying. Gamma (Γ) = rate of delta change (highest ATM near expiry — biggest risk). Theta (Θ) = daily time decay cost. Vega = price change per 1% move in implied volatility. IV Skew = avg OTM put IV minus ATM IV — high positive skew signals market fear of downside.

# 5. Sector Money Flows

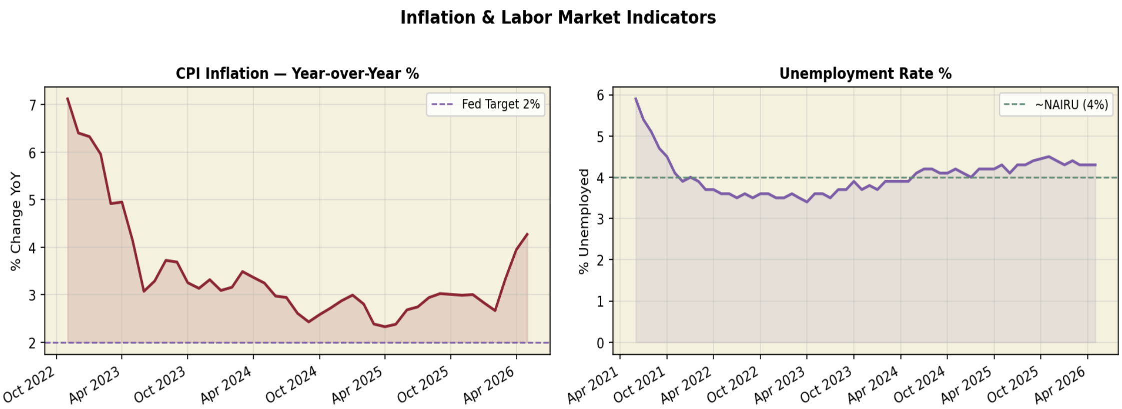
Money flows are computed as the 5-day sum of (daily return × volume) — positive on up days, negative on down days. A sector gaining with above-average volume signals institutional accumulation (Strong Inflow); a declining sector on heavy volume signals distribution (Strong Outflow). Volume ratio compares the 5-day average to the 20-day average: readings above 1.1× confirm conviction behind the move.

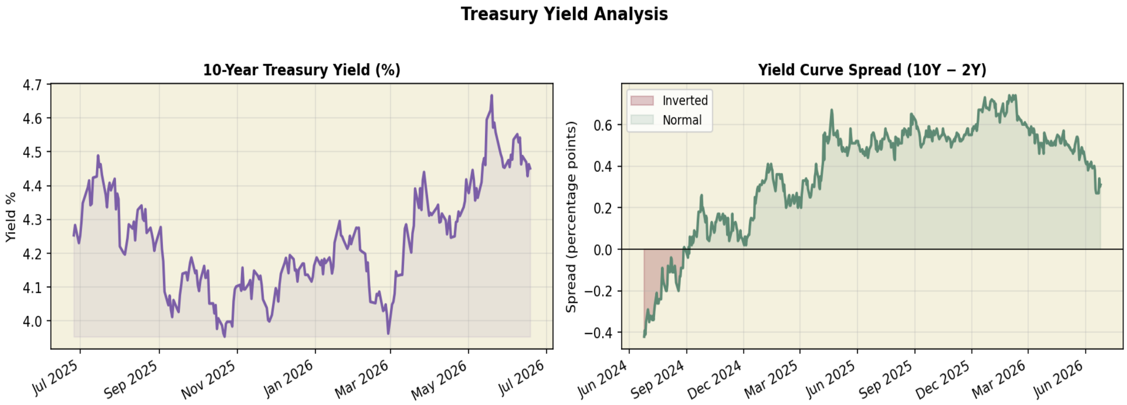



| Sector | ETF | 5D Return | 20D Return | Vol Ratio | Flow Signal | Net Flow Direction |
|---|---|---|---|---|---|---|
| Healthcare | XLV | +7.80% | +6.74% | 0.97× | Mild Inflow | ▲ Inflow |
| Utilities | XLU | +3.88% | +4.18% | 0.94× | Mild Inflow | ▲ Inflow |
| Cons. Staples | XLP | +2.40% | +1.03% | 0.92× | Mild Inflow | ▲ Inflow |
| Real Estate | XLRE | +4.05% | +2.76% | 0.89× | Mild Inflow | ▲ Inflow |
| Energy | XLE | +0.85% | -4.78% | 0.89× | Mild Inflow | ▲ Inflow |
| Financials | XLF | +0.35% | +4.85% | 0.79× | Mild Inflow | ▲ Inflow |
| Materials | XLB | -0.03% | +0.84% | 0.80× | Mild Inflow | ▲ Inflow |
| Industrials | XLI | +0.41% | +4.51% | 0.94× | Mild Outflow | ▼ Outflow |
| Cons. Discret. | XLY | -2.19% | -6.11% | 1.06× | Mild Outflow | ▼ Outflow |
| Comm. Services | XLC | -2.74% | -8.75% | 1.06× | Mild Outflow | ▼ Outflow |
| Technology | XLK | -5.28% | -2.96% | 0.84× | Mild Outflow | ▼ Outflow |

## 6. Macro Economic Indicators

The Fed's dual mandate is maximum employment and stable inflation (2% target). CPI above target forces rate hikes; a soft labor market gives room to cut. An inverted yield curve (2Y > 10Y) has preceded every US recession since the 1970s — typically with a 12–18 month lag.

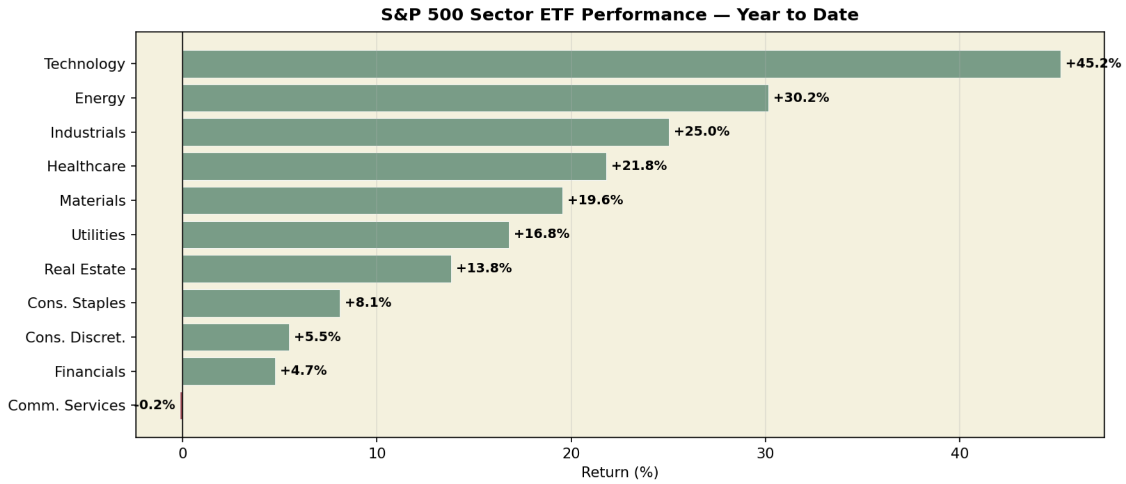


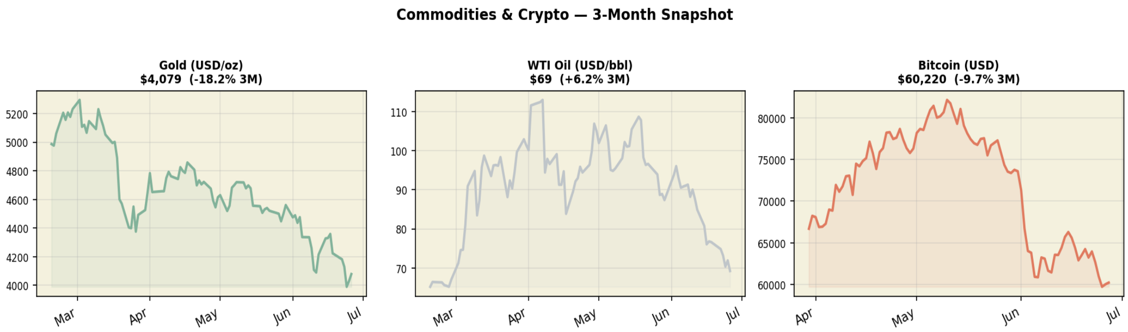



**Yield Curve: Near flat (+0.31 pp)** — uncertainty about the economic trajectory.

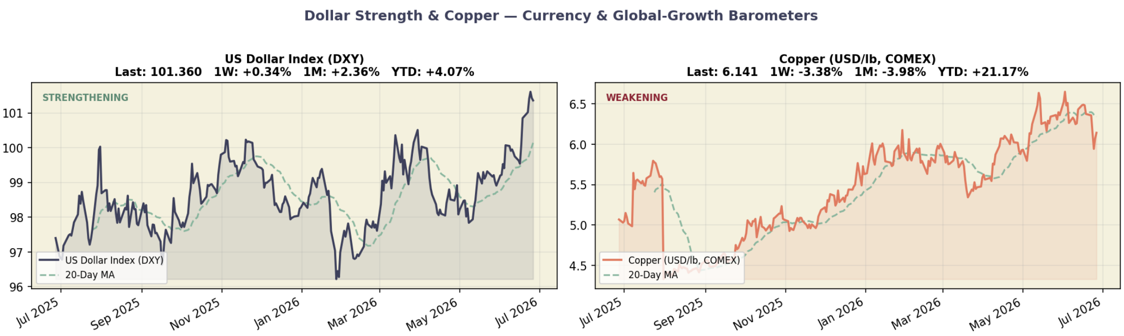
## 7. Sector Rotation & Commodities

Sector rotation signals the economic cycle phase. Defensives (Utilities, Staples, Healthcare) outperform in slowdowns; Cyclicals (Tech, Discretionary, Industrials, Energy) lead in expansions. Commodities and crypto reflect global demand, USD strength, and inflation expectations.



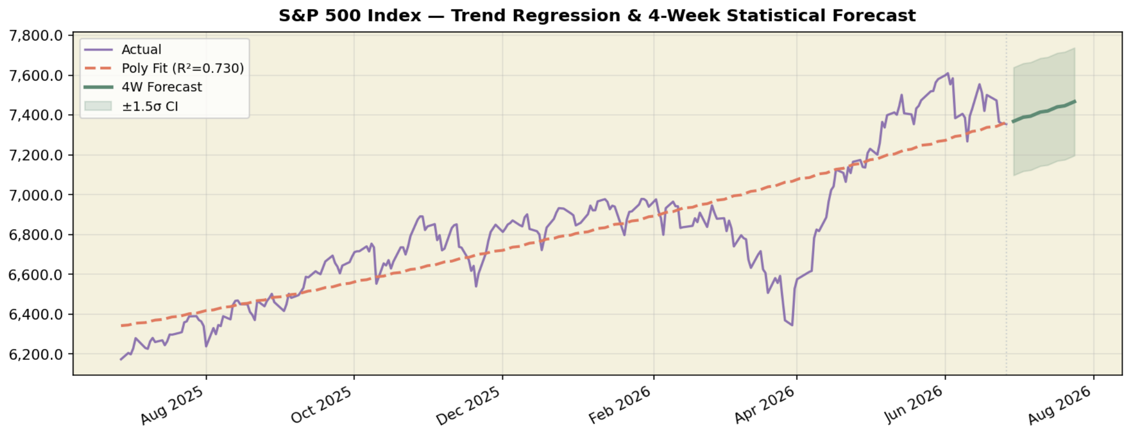




**Dollar Strength & Copper** — The USD index (DXY) is a key macro cross-asset driver: a rising dollar tightens global financial conditions, pressures EM currencies, and often weighs on commodity prices. Copper ('Dr. Copper') is widely regarded as a real-time barometer of global economic health — rising copper prices signal industrial demand and growth confidence, while falling copper warns of slowdown, particularly in China.

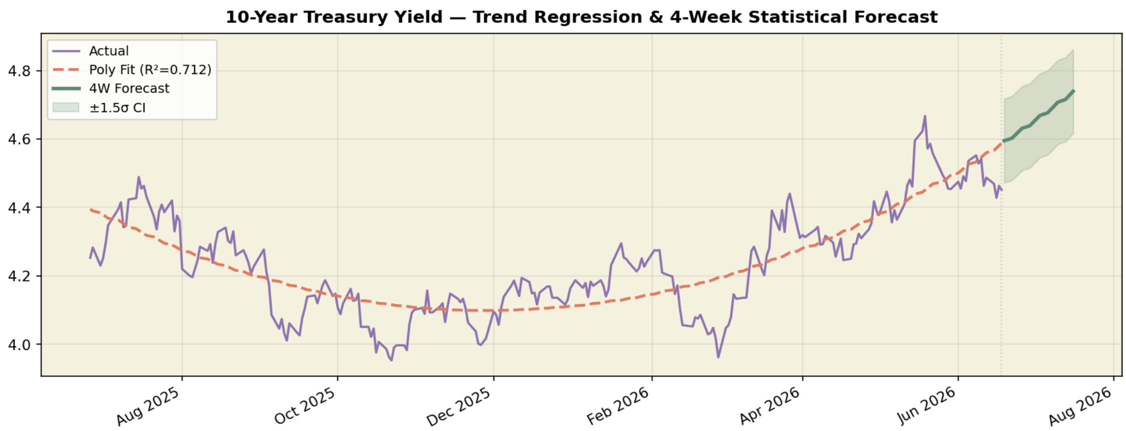



## 8. Trend Regression & 4-Week Forecasts

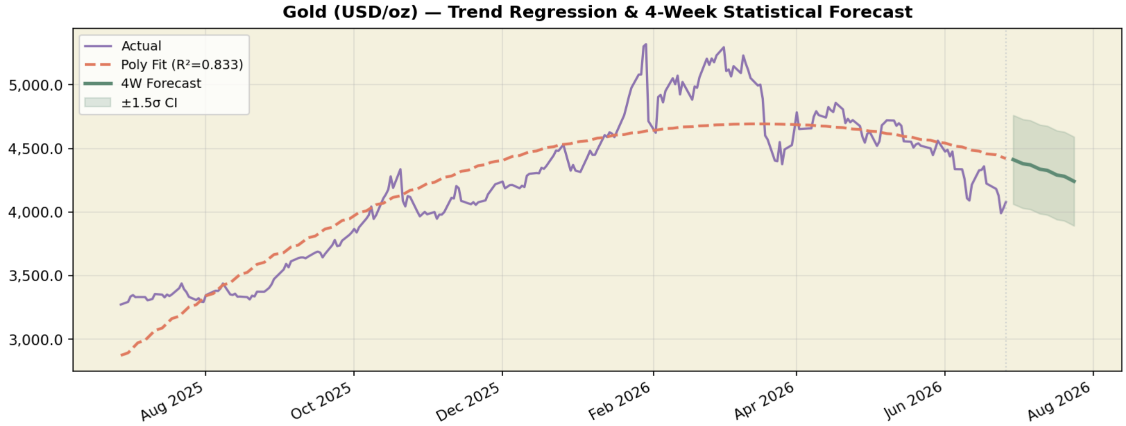
A degree-2 polynomial regression is fit to the trailing 52 weeks of price data. The dashed line extends the fitted momentum trend 4 trading weeks (≈20 days) forward. The shaded band represents ±1.5 standard deviations of model residuals. **These are statistical momentum projections and do not constitute investment advice. Trend direction can reverse quickly on new macro data.**




| Metric | Value |
|---|---|
| Current Level | 7,354.02 |
| 4-Week Trend Target | 7,466.98 (+1.54%) |
| Trend Direction | ↑ Uptrend → Likely HIGHER |
| Model $R^2$ (polynomial) | 0.7300 |
| Forecast Range (±1.5σ) | 7,196.42 — 7,737.55 |



| Metric | Value |
|---|---|
| Current Level | 4.45 |
| 4-Week Trend Target | 4.74 (+6.48%) |
| Trend Direction | ↑ Uptrend → Likely HIGHER |
| Model R² (polynomial) | 0.7124 |
| Forecast Range (±1.5σ) | 4.62 — 4.86 |




| Metric | Value |
|---|---|
| Current Level | 4,078.70 |
| 4-Week Trend Target | 4,241.72 (+4.00%) |
| Trend Direction | ↑ Uptrend → Likely HIGHER |
| Model R² (polynomial) | 0.8329 |
| Forecast Range (±1.5σ) | 3,892.74 — 4,590.70 |

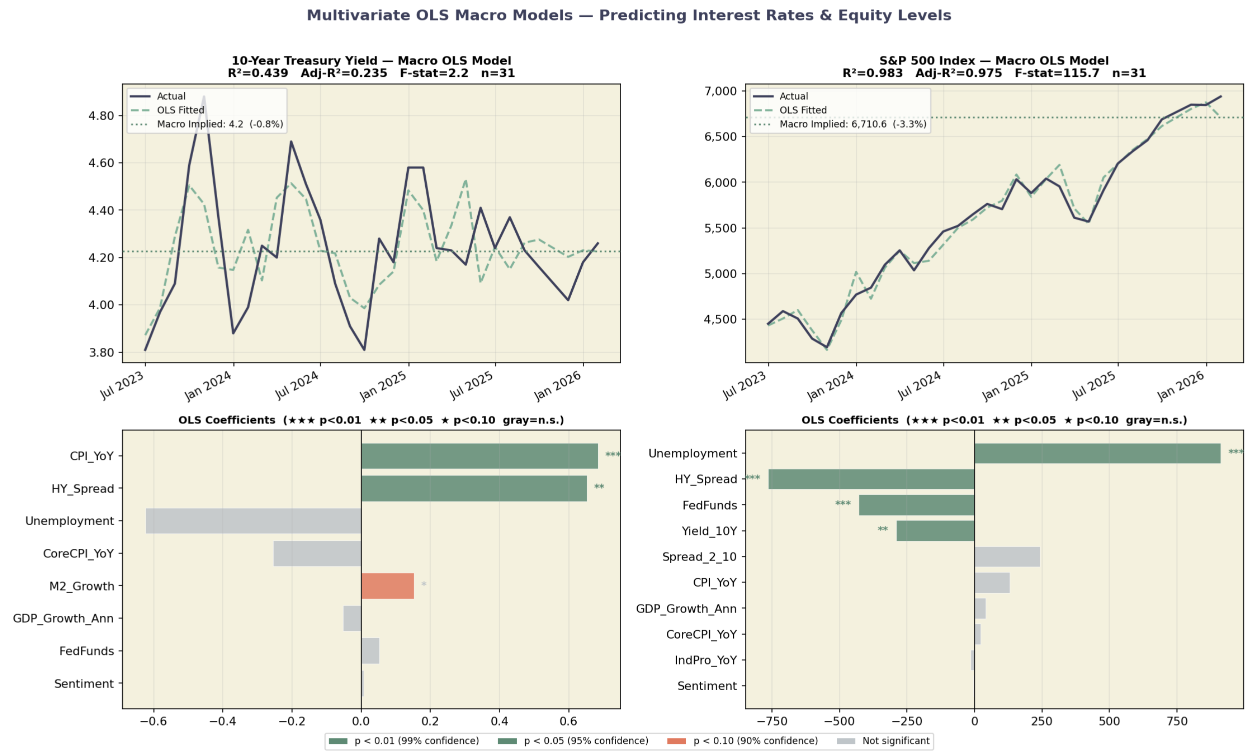
## 8b. Multivariate OLS Macro Regression Models

Ordinary Least Squares (OLS) models are estimated over the trailing 4 years of monthly data using a suite of FRED macro variables as predictors. Unlike the univariate trend models above, these regressions attempt to identify the **fundamental macro drivers** that explain current interest-rate levels and equity valuations — and to estimate where those fundamentals imply each variable should be trading today.

**Model 1 — 10-Year Treasury Yield** predicts the benchmark long-rate using: CPI YoY, Core CPI YoY, Federal Funds Rate, Unemployment, annualised GDP growth, M2 money-supply growth, High-Yield credit spread, and Consumer Sentiment.

**Model 2 — S&P; 500 Index Level** uses: CPI YoY, Core CPI YoY, Federal Funds Rate, Unemployment, GDP growth, Industrial Production YoY, 10-Year Yield, 2Y-10Y spread, Consumer Sentiment, and HY spread.

*Interpretation: the 'Macro Implied' level is the model's estimate of fair value given current macro conditions. A large gap between Implied and Actual may indicate over- or under-valuation relative to the prevailing macro regime. Stars denote coefficient significance: ★★★ $p<0.01$, ★★ $p<0.05$, ★ $p<0.10$.*




## 10-Year Treasury Yield — OLS Coefficient Table

Current: **4.26** | Macro-Implied: **4.23** **-0.8%** | $R^2$: **0.439** Adj-$R^2$: **0.235** F-stat: **2.2** n=31

| Variable | Coefficient | t-Stat | p-Value | Sig |
|---|---|---|---|---|
| **CPI YoY** | 0.6843 | 3.33 | 0.0030 | *** |
| CoreCPI YoY | -0.2554 | -0.90 | 0.3759 | |
| FedFunds | 0.0520 | 0.25 | 0.8012 | |
| Unemployment | -0.6244 | -1.11 | 0.2804 | |
| GDP Growth Ann | -0.0529 | -1.01 | 0.3245 | |
| M2 Growth | 0.1531 | 1.75 | 0.0941 | * |
| **HY Spread** | 0.6525 | 2.71 | 0.0127 | ** |
| Sentiment | 0.0070 | 0.52 | 0.6117 | |

## S&P; 500 Index — OLS Coefficient Table

Current: **6,939.03** | Macro-Implied: **6,710.61** **-3.3%** | $R^2$: **0.983** Adj-$R^2$: **0.975** F-stat: **115.7** n=31

| Variable | Coefficient | t-Stat | p-Value | Sig |
|---|---|---|---|---|
| CPI YoY | 131.1479 | 1.08 | 0.2945 | |
| CoreCPI YoY | 22.4915 | 0.13 | 0.8952 | |
| **FedFunds** | -428.7406 | -3.87 | 0.0009 | *** |
| **Unemployment** | 912.6152 | 3.04 | 0.0064 | *** |
| GDP Growth Ann | 41.2778 | 1.51 | 0.1455 | |
| IndPro YoY | -14.8860 | -0.35 | 0.7285 | |

| | | | | |
|---|---|---|---|---|
| **Yield 10Y** | -290.5659 | -2.53 | 0.0197 | ** |
| Spread 2 10 | 242.4465 | 1.31 | 0.2058 | |
| Sentiment | -3.9831 | -0.50 | 0.6235 | |
| **HY Spread** | -764.6318 | -6.32 | 0.0000 | *** |

## 9. Upcoming Economic Events (Next 30 Days)

Key data releases and Fed decisions that historically cause the largest intraday moves. **Gold-highlighted rows** fall within the next 7 days. HIGH-impact events are marked in red and typically move equity markets ≥0.5% on release day.

| Date | Event | Type | Impact |
|---|---|---|---|
| Jul 02, 2026 (In 5d) | Non-Farm Payrolls (June 2026) | Labor | **HIGH** |
| Jul 08, 2026 (In 11d) | 10-Year Treasury Note Auction | Treasury | MED |
| Jul 10, 2026 (In 13d) | UoM Consumer Sentiment (July) | Consumer | MED |
| Jul 14, 2026 (In 17d) | CPI Report (June 2026) | Inflation | **HIGH** |

## 10. Watch List & Stock Signals

Stocks are scored 0–10 on: 3-month momentum, 1-month momentum, RSI positioning, and 50/200-day MA golden cross. **BUY** (score ≥ 7) = positive momentum alignment; **HOLD** (≥ 5) = await clearer entry; **WATCH** (< 5) = unfavorable conditions.

### Top Signals This Week:

**CAT** (Score 9.0) — Infrastructure capex cycle beneficiary. RSI 61 (Neutral), 3M +43.7%, Golden cross: ✓.

**JPM** (Score 9.0) — Best-in-class bank, net interest income leader. RSI 64 (Neutral), 3M +16.9%, Golden cross: ✓.

| Ticker | Price | 1W % | 1M % | 3M % | YTD % | RSI | Signal | Rating | Score |
|---|---|---|---|---|---|---|---|---|---|
| CAT | $997.47 | -2.4% | +12.4% | +43.7% | +162.1% | 61 | Neutral | **BUY** | 9.0 |
| JPM | $329.05 | -0.7% | +10.9% | +16.9% | +16.8% | 64 | Neutral | **BUY** | 9.0 |
| JNJ | $254.66 | +10.1% | +10.3% | +6.5% | +71.3% | 73 | Overbought | HOLD | 6.5 |
| BRK-B | $498.66 | +2.0% | +4.4% | +6.4% | +2.7% | 61 | Neutral | HOLD | 6.5 |
| PG | $149.02 | +0.9% | +2.1% | +5.2% | -4.1% | 55 | Neutral | HOLD | 6.0 |
| NVDA | $192.53 | -7.7% | -10.0% | +15.1% | +22.2% | 39 | Neutral | HOLD | 5.5 |
| TLT | $87.36 | +1.5% | +2.3% | +3.2% | +4.5% | 71 | Overbought | WATCH | 4.5 |
| MSFT | $372.97 | +1.5% | -12.7% | +4.8% | -24.2% | 31 | Neutral | WATCH | 4.0 |
| META | $550.25 | -2.4% | -13.3% | +4.8% | -24.8% | 35 | Neutral | WATCH | 4.0 |
| XOM | $136.54 | -1.4% | -7.1% | -19.6% | +28.8% | 26 | Oversold | WATCH | 4.0 |
| GLD | $373.63 | -2.8% | -9.5% | -9.9% | +24.0% | 37 | Neutral | WATCH | 4.0 |

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